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What's News

Business & Finance

◆ **Progress on bringing** down inflation stalled in November, with the CPI rising 2.7%, a bump up that poses a challenge to Trump as he prepares to take office with a promise to slow inflation. **A1**

◆ **Major U.S. stock indexes** ended mixed, with the S&P 500 and Nasdaq gaining 0.8% and 1.8%, respectively, and the Dow falling 0.2%. **B11**

◆ **Albertsons killed** its planned sale to Kroger and filed a lawsuit alleging that Kroger didn't do enough to get regulatory approval for the supermarket operators' \$20 billion deal. **A1**

◆ **Macy's completed** its investigation into accounting problems and found that one employee's mistake and subsequent coverup created \$151 million in false bookkeeping entries. **B1**

◆ **Two top real-estate** agents and their brother were arrested in connection with a federal investigation into sexual-assault allegations. **B1**

◆ **A federal appeals** court rejected Nasdaq's yearslong push to set racial and gender targets for the boards of its listed companies. **B1**

◆ **Sotheby's is laying off** more than 100 people in a further effort to right its finances after it received a \$1 billion investment from an Abu Dhabi sovereign-wealth fund. **B3**

◆ **A bankruptcy court** judge blocked the sale of Infowars to The Onion, ruling that a trustee failed to maximize value for creditors when he accepted a bid from The Onion's owner. **A3**

◆ **OPEC cut its forecast** for oil-demand growth for the fifth consecutive month after further postponing plans to increase output. **B6**

World-Wide

◆ **FBI Director Christopher** Wray said he would step down before the end of his 10-year term after Trump made clear he would fire him in favor of a loyalist intent on overhauling the bureau. **A1**

◆ **Hamas yielded to two** of Israel's key demands for a cease-fire deal in Gaza, Arab mediators said, raising hopes of an agreement that could secure the release of some hostages within days. **A1**

◆ **The House approved** a nearly \$900 billion annual defense-policy bill that includes a controversial provision that would block some transgender medical care for minors covered by the military's healthcare program. **A4**

◆ **Meta Platforms** has donated \$1 million to Trump's inaugural fund, the latest step by Mark Zuckerberg to bolster his relationship with the incoming president. **A6**

◆ **A bipartisan group** of lawmakers introduced legislation to break up pharmacy-benefit managers, the drug middlemen that have faced yearslong scrutiny from Congress and the FTC. **A2**

◆ **Beijing is brandishing** an expanded arsenal of countermeasures that it is likely to draw upon as Trump threatens across-the-board tariffs and levies of as high as 60% on Chinese-made goods. **A9**

◆ **An Islamic State suicide** bombing in Kabul killed Khalil Haqqani, a Taliban minister who had a U.S. bounty on his head for terrorist activities. **A9**

◆ **Died: David Bonderman**, 82, co-founder of TPG. **B2**

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Inflation Bubbles Up Again

Many goods saw flat or falling prices for about a year; Fed, Trump to face test

By HARRIET TORRY AND NICK TIMIRAOIS

Progress on bringing down inflation stalled in November, with the consumer-price index of goods and services costs ticking up to a 2.7% increase.

Prices of consumer goods—everything from cars to living-room furniture, but excluding food and energy—increased at the fastest month-over-month

pace in a year and a half, led by a jump in vehicle prices. That was partly because drivers replaced damaged cars and trucks after recent devastating hurricanes.

The rise is notable because prices for many goods had generally been falling or flat for about a year through August. That trend appears to have now reversed.

The situation presents President-elect Donald Trump with a deep and central challenge as he prepares to take office with a promise to beat back inflation. Economists fear that goods inflation could accelerate if the incoming

Trump administration follows through on threats to impose across-the-board tariffs.

The CPI report also raises questions for the Federal Reserve about the pace of rate cuts in the year ahead. The Fed is widely expected to cut rates by a quarter-point at its meeting next week, its third cut in a row.

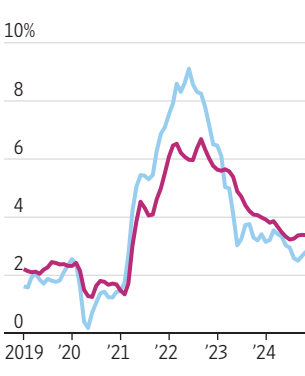
Investors in interest-rate futures markets on Wednesday viewed a rate cut next week as a near certainty. A separate report on inflation due on Thursday could help seal the case.

Officials have indicated sticky inflation could lead

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Consumer-price index, change from a year earlier

Core: +3.3% Overall: +2.7%



Note: Core excludes food and energy prices. Source: Labor Department

Syrians Head Home to a Struggle for Control



CROSSING: Syrians waited to return to their country at a border gate in southern Turkey on Wednesday. The swift collapse of the Assad regime has left a vacuum in Syria, and powerful militaries arrayed around its borders are rushing to fill it. **A8**

Hopes Rise for Cease-Fire in Gaza

By SUMMER SAID

Hamas has yielded to two of Israel's key demands for a cease-fire deal in Gaza, Arab mediators said, raising hopes of an agreement that could release some hostages within days despite the repeated collapse of previous negotiations.

The militant group told mediators for the first time that it would agree to a deal that would allow Israeli forces to remain in Gaza temporarily when the fighting stops. Hamas also handed over a list of hostages,

including U.S. citizens, whom it would release under a cease-fire pact, something it hasn't done since the first truce in the conflict last year.

The new plan, proposed by Cairo and backed by the U.S., seeks to build on momentum generated by the cease-fire in Lebanon secured in November, which has broadly held despite both Israel and Hezbollah accusing each other of violations.

The office of Israeli Prime Minister Benjamin Netanyahu declined to comment. Netanyahu on Monday said there

were certain developments in the cease-fire talks but that it was too early to tell whether a deal was within reach.

Progress toward a deal comes after an Egyptian delegation visited Israel in late November, and after President-elect Donald Trump said on Truth Social this month that there would be "hell to pay" in the Middle East if the hostages aren't released before he assumes office in January.

As part of the latest proposal, Israel and Hamas are considering a 60-day cease-

fire period that would see the release of up to 30 hostages being held in Gaza, including U.S. citizens, the mediators said. In exchange, Israel would free Palestinian prisoners and allow greater humanitarian aid to flow into Gaza, they said.

Negotiations picked up pace this week with an Israeli delegation visiting Cairo on Tuesday, days after Hamas officials were in the Egyptian capital. White House national-security adviser Jake Sullivan

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FBI Chief To Resign As Trump Forces His Early Exit

President-elect, riled by probes into his conduct, pushed for Wray's ouster

By SADIE GURMAN AND ARUNA VISWANATHA

FBI Director Christopher Wray is stepping down before the end of his 10-year term, after President-elect Donald Trump made clear he would fire him in favor of a loyalist intent on overhauling the bureau.

Wray told employees on Wednesday he would resign before the new Trump administration begins.

"In my view, this is the best way to avoid dragging the Bureau deeper into the fray, while reinforcing the values and principles that are so important to how we do our work," Wray said during an internal town hall at the FBI's headquarters.

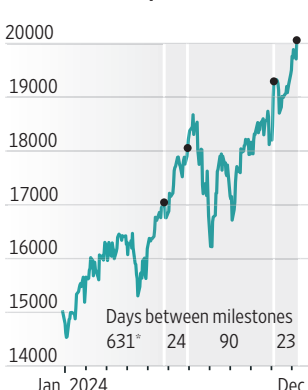
Trump chose Wray for the post in 2017, but the former president soured on him and the bureau more broadly after years of federal investigations into his conduct. Wray, a fellow Republican, tried to keep the spotlight on the Federal Bureau of Investigation's other work but instead watched it become further entangled in partisan politics.

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Nasdaq Rally Tops 20000

The Nasdaq set a record Wednesday, as new inflation data lifted tech stocks. **B11**

NASDAQ Composite Index



*The index first crossed 15000 in August 2021 and 16000 in November 2021 Sources: FactSet (index); Dow Jones Market Data (milestones)

Albertsons Terminates Merger And Sues Kroger

By PATRICK THOMAS

The two biggest supermarket operators in the U.S. have gone from deal partners to legal rivals in less than 24 hours.

Grocery-store operator Albertsons said it terminated its planned sale to Kroger and filed a lawsuit alleging Kroger didn't do enough to secure regulatory approval for the \$20 billion deal, a day after a federal court blocked it.

"Rather than fulfill its contractual obligations to ensure that the merger succeeded, Kroger acted in its own financial self-interest, repeatedly providing insufficient divestiture proposals that ignored regulators' concerns," Tom Moriarty, Albertsons' general counsel, said on Wednesday. The lawsuit, filed in a Delaware chancery court, seeks billions of dollars in damages.

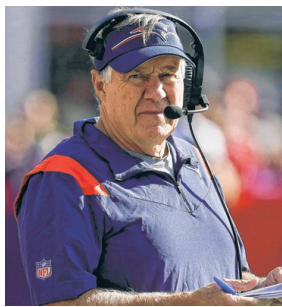
A Kroger spokeswoman said Albertsons' claims are

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U.S. NEWS

Luigi Mangione's dark descent from promising student to murder suspect. **A3**



SPORTS

Bill Belichick is named head coach at the University of North Carolina. **A14**

No Pay for an 80-Hour Workweek? Bring It On, DOGE Fans Say

* * *

Hopefuls are vying for positions at new Department of Government Efficiency

By JOSEPH DE AVILA

It might seem unappealing to work 80 hours a week—even worse if it's for free. Not for Sarah Armstrong.

Armstrong says she is ready to leave her job as vice president of operations for a company that makes electrical equipment to volunteer for

Elon Musk's and Vivek Ramaswamy's new initiative, announced last month by President-elect Donald Trump, to cut federal spending and bureaucracy.

"I think this is such a unique way to serve the country, and more importantly the people," said Armstrong, a 55-

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AI Researchers Push Computers To Doom Scenarios

Anthropic's Frontier Red Team tests the ability to create superhuman harm

By SAM SCHECHNER

In a glass-walled conference room in San Francisco, Newton Cheng clicked a button on his laptop and launched a thousand copies of an artificial intelligence program, each with specific instructions: Hack into a computer or website to steal data.

"It's looking at the source code," Cheng said as he examined one of the copies in action. "It's trying to figure out, where's the vulnerability? How can we take advantage of it?" Within minutes, the AI said the hack was successful.

Cheng works for Anthropic, one of the biggest AI startups in Silicon Valley, where he's in charge of cybersecurity testing for what's called the Frontier Red Team. The hacking attempts—conducted on simulated targets—were among

thousands of safety tests, or "evals," the team ran in October to find out just how good Anthropic's latest AI model is at doing very dangerous things.

The release of ChatGPT two years ago set off fears that AI could soon be capable of surpassing human intellect—and with that capability comes the potential to cause superhuman harm. Could terrorists use an AI model to learn how to build a bioweapon that kills a million people? Could hackers use it to run millions of simultaneous cyberattacks? Could the AI reprogram and even reproduce itself?

The technology has raced ahead anyway. There are no binding rules in the U.S. requiring companies to perform or submit to evals. It's

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◆ **Prepare for 'long thinking,' AI's next leap**..... **B4**